The award was designed to encourage the group companies to strive for excellence. Six levels of recognition were introduced. They were based on a grading system out of a maximum of 1,000 points. Each company had to obtain a minimum of 600 points to become eligible for the award. Soon the award ‘became the fire in the belly’ of Tata companies, says Bhaskar Bhat, MD of Titan Industries.

Shortly after instituting the award, in September 1994, Ratan established an apex committee in Tata Sons headed by Jim Setna, a director of Tata Sons, with himself as the chairman. In the first year, twelve companies were assessed, and the first award meeting was held in August 1995.

The review of the companies vindicated Ratan’s observation that even the group’s marquee companies were woefully unprepared to face the headwinds of competition. The dozen companies assessed secured an average of only 215 points out of 1,000, or a poor 21.5 per cent score, relegating them to the bottom rung—the ‘Early Development’ stage—of the eight milestones on the evaluation matrix. Even TISCO secured only 197 points out of 1,000 in its first assessment in 1994–95—an embarrassing record for the eighty-eight-year-old fabled company. The status of the other eleven companies was no better.

Ratan’s initiative faced resistance from the senior management. To motivate them, he called the largest meeting of the senior group leaders—nearly a hundred of them—on 15 January 1996 at the President Hotel, Mumbai. Later, he said: ‘Never before had [all the CEOs of] the group come together.’ It helped them ‘meet each other, work together, and understand each other’.

Ratan was forthright in his message to the senior leaders. He said: ‘I would want the companies to take this very, very seriously from the CEOs downwards … all such initiatives need the committed support of the chief executives. Not just lip service but actual committed support. Without that, obviously, an organization will not make that transition.’ To help them in the process, he established the Tata Quality Management Services (TQMS) in July 1996, with S.A. Vaneswaran from Tata Honeywell as its first CEO.

After this first meeting, it was made an annual feature. And in 1999, the annual CEO meet was rechristened the Annual Group Management Meet (AGMM). The central meetings were also followed by regional AGMMs.

In the first six years, no company could, however, win the JRD QV Award. The companies that had participated in the process were